

Kirloskar Pneumatic Company Ltd

Concall Tracker (updated) | Ticker: KIRLPNU (NSE) / 505283 (BSE) | Report date: 4 July 2026 | Now includes the latest **Q4 FY26** call (announced 27 Apr 2026)

1. Snapshot

What the business does: Kirloskar Pneumatic (KPCL) is an engineering company that makes **compressors** and the systems built around them. In plain terms, a compressor is a machine that squeezes air or gas to high pressure so it can be moved, chilled or processed. KPCL sells three main things: (1) **refrigeration / cooling systems** for cold storage, dairies, food and pharma; (2) **air compressors** for factories; and (3) **process-gas systems** — the kit that compresses natural gas at CNG stations and in oil-and-gas and biogas plants. A smaller "precision engineering" arm makes gears, castings and transmission parts. It earns money by selling the equipment, building turnkey packages, and then servicing them for years afterward.

Number (FY26, year to Mar-2026)	Value	Plain-English read
Market value of the company	~₹6,900 cr (as of Dec-2025)	What the whole company is worth on the stock market — a mid-sized industrial firm.
Full-year revenue (sales)	₹1,759 cr (₹1,786 cr total income)	Total sales for the year — up about 8% on last year's ₹1,629 cr. Growth was modest this year.
Full-year net profit	₹258 cr	What was left after all costs and tax — up about 22% . Profit grew far faster than sales.
Operating margin (EBITDA)	21.7%	Out of every ₹100 of sales, ~₹21.7 was operating profit — the best in years (was 19% in FY25).
Debt	Effectively zero (net cash ~₹460 cr)	The company owes nothing and sits on a big cash pile — it can fund growth from its own pocket.
Return on capital (ROCE)	~30%	For every ₹100 of capital in the business it earned ~₹30 a year — a high, healthy return.

2. Concall coverage

This report reads **six** consecutive earnings calls — about a year and a half of the story, spanning the end of FY25 through the just-closed FY26. Five came from transcripts already on disk; the newest (Q4 FY26) was **not** available as a transcript, so its content was gathered from the web (see note below).

Quarter	Call date	Source used
Q3 FY25	28 Jan 2025	On-disk transcript
Q4 / full-year FY25	24 Apr 2025	On-disk transcript
Q1 FY26	23 Jul 2025	On-disk transcript
Q2 FY26	28 Oct 2025	On-disk transcript

Q3 FY26	23 Jan 2026	On-disk transcript
Q4 / full-year FY26 ★	27 Apr 2026	Web — the transcript download failed; details taken from the company's Q4-FY26 investor presentation (on disk) plus published call summaries/transcripts on AlphaStreet, GuruFocus, ScanX, Angel One and the BSE filing (see Section 2b sources).

2b. Latest concall highlights — Q4 FY26 (announced 27 Apr 2026) ★

- **Blockbuster quarter, modest year.** Q4 sales were **₹706 cr, up ~21%** on Q4 last year; Q4 net profit jumped to **₹144 cr, up ~79%** (delayed big packages finally shipped). But for the **full year, revenue rose only ~8% to ₹1,759 cr** — a soft year — while **net profit grew ~22% to ₹258 cr**. Read: the profit engine delivered even though the top line grew slowly.
- **Record order intake — the standout signal.** New orders won in FY26 **crossed ₹2,000 cr for the first time ever**, and the unexecuted order backlog rose 15% to **₹1,863 cr** (~₹1,300 cr of it to be delivered in FY27). Read: the pipeline for next year is the strongest it has ever been.
- **Big shareholder rewards.** Declared a record **600% dividend (₹12 per share)** and announced a **1-for-2 stock split** (face value ₹2 → ₹1). Read: management is confident enough to hand back its highest-ever payout.
- **New products going live. Zephyros** — an indigenous, climate-friendly (zero-warming refrigerant) air-conditioning system backed by a ₹320 cr government-incentive (PLI) capex plan — is set for commercial launch in Q1 FY27; **Tezcatlipoca** centrifugal compressor now has ~130 machines in the field. Read: the next growth wave is new, in-house products, not the old gas business.
- **Leadership handover + steady guidance.** **Aman Kirloskar became Managing Director from 1 Apr 2026**, succeeding K. Srinivasan. Management reaffirmed its long-run aim of **~20%+ growth** and said **18–20% is the sustainable margin band** (FY26's 21.7% was flattered by mix). Tone: upbeat and milestone-heavy, but candid about margins normalising.

Sources for the Q4 FY26 call: company Q4-FY26 investor presentation (Apr_2026, on disk); AlphaStreet transcript; GuruFocus / Yahoo Finance call highlights; ScanX and Angel One result reports; BSE corporate filing (bseindia.com). The transcript itself could not be downloaded from Screener, so these public summaries were used.

2c. Business mix & capacity

Domestic vs export: ~94% India, ~6% exports in FY26 (exports ~₹124–140 cr). Read: this is overwhelmingly an India-demand story; management has openly said "export is not a strategy for us at the moment." Exports go mainly to the Middle East / North Africa and Southeast Asia (CNG kit).

Business mix (FY26): The **compression** segment is ~93% of revenue. Within it, roughly — refrigeration/cooling ~40–45%, process-gas/CNG ~35% (shrinking), factory air compressors ~18–20%; a small and fast-growing "others" arm (gears, transmission, contract manufacturing, precision engineering) makes up the rest.

Capacity utilization: Plants ran at roughly **~70%** as cited around Q2 FY26, and were "running flat out" in Q3–Q4 to meet the year-end rush — so there is some headroom, and a large ₹320 cr PLI-linked expansion (at the Nashik and Saswad plants, for the new Zephyros AC line and motors) is underway, ~₹60 cr spent so far.

3. Earning Trigger thesis ★

KPCL's growth engine has **shifted** over the last 18 months. The old driver — compressing natural gas for CNG stations and oil-and-gas projects — has stalled and management now admits it lost market share there. The **live trigger today is import-substitution through in-house, patented products**: KPCL makes compressors that India used to import, so it keeps winning share even in a flat market. The concrete pieces are the **Tezcatlipoca** centrifugal compressor (~130 units now in the field), the **Tyche** and **Hydrino** compressors replacing European imports, the fast-growing **refrigeration/cold-chain** business, and a brand-new entry into **commercial air-conditioning (Zephyros)** backed by a government incentive scheme. The proof it is working: record order intake (over ₹2,000 cr), a 15%-larger order backlog, and margins expanding to a record 21.7% — all while the company stays debt-free with ~₹460 cr of cash to fund the push.

Trigger	What management said	Evidence so far	Time horizon	Strength
New in-house products / import substitution (Tezcatlipoca, Tyche, Hydrino)	Replace imported compressors; win share even in soft markets; Tezcatlipoca market ~₹500 cr	~130 Tezcatlipoca in the field; record ₹2,000 cr+ order intake; margins up to 21.7%; 57 patents filed in FY26	Now → 2–3 yrs	Strong — real orders and margin gains already visible.
Refrigeration / cold-chain systems	Fastest-growing engine; only Indian maker of many of these compressors	Record KC/KCX compressor volumes; ~40–45% of revenue and rising	Now → ongoing	Strong — steady demand, clear share leadership.
Commercial air-conditioning entry (Zephyros, PLI-backed)	Target ~₹5,000 cr slice of a ~₹25,000 cr AC market; ₹320 cr capex	Product ready, commercial launch Q1 FY27; only ~₹60 cr spent so far	FY27 onwards	Moderate/Unproven — big prize but no sales yet; a new market for KPCL.
Process gas / CNG (the old driver)	Cyclical, "bottoming out," will come back	Volumes down ~50% from peak; admitted structural share loss	Uncertain	Weak — being de-emphasised; no longer the growth story.

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY25 → Q4 FY25	"Record Q4" and "well above 20%" growth for FY25	Q4 sales +19%; full-year FY25 sales +23%, profit +58%	Delivered
Through 2025	Become a "₹2,000 crore company" in FY26 (a revenue milestone, repeated on almost every call)	FY26 revenue landed at ₹1,759 cr (₹1,786 cr total income) — missed . Reframed as "order inflow crossed ₹2,000 cr"	Missed (reframed)
Q1 FY26	"Bottom of the curve... back to plan by Q3"; ~18%+ FY26 growth held	H1 sales actually fell year-on-year; growth guide cut to ">15%" in Q2	Partly / cut
Q2 FY26	Admitted CNG market-share loss openly; guided ">15% FY26 growth, profit +25–30%"	FY26 revenue grew only ~8% (missed even the cut guide); profit grew ~22%	Partly
Q3 FY26			

	Close FY26 at ₹1,800 cr+ revenue, PBT ₹345–360 cr, bottom-line ~20%+	Total income ₹1,786 cr (just under), PBT ₹356 cr (in range), profit +22% — profit guide met	Delivered (profit)
FY26 → FY27	Return to ~20%+ growth "from next year"; 18–20% sustainable margins	Record ₹2,000 cr+ order intake and +15% backlog support it — but not yet proven in sales	Too early

Narrative drift: The story has drifted meaningfully but *honestly*. The headline promise for 18 months — a "₹2,000 crore company in FY26" and "20%+ growth" — was **not met on revenue** (FY26 grew just 8%), and management quietly moved the goalposts, reframing the ₹2,000 cr as order *inflow* rather than revenue. The old process-gas growth pillar failed and, to their credit, they openly admitted losing share rather than hiding it. Yet the **profit and margin promises were kept** every year (FY26 profit +22%, margins at a record 21.7%), the balance sheet stayed debt-free and cash-rich, dividends rose to a record, and the growth engine was rebuilt around credible new in-house products. A significant leadership change (K. Srinivasan → Aman Kirloskar as MD from Apr-2026) adds a watch-item but was handled as a planned, structured handover. Net: candid and financially reliable, but with a real and repeated **top-line growth miss**.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver: import-substituting, in-house-engineered compressors and refrigeration systems (Tezcatlipoca, Tyche, Hydrino, Khione), now widening into commercial air-conditioning. The evidence it is working is hard, not hopeful — **record order intake above ₹2,000 cr**, a 15%-larger backlog into FY27, ~130 Tezcatlipoca units in the field, and **margins at a record 21.7%**, all funded by a debt-free, cash-rich balance sheet. The Q4 FY26 profit surge (+79%) shows the engine delivers strongly when execution lands. The main caveat is timing — revenue conversion has repeatedly slipped — but the driver itself is real and durable.

Management consistent? → MAYBE

A mixed record. On the plus side management is unusually **candid** (it openly admitted losing gas-market share), and it has kept its **profit, margin, cash and dividend promises** year after year — FY26 profit rose ~22% and margins hit a record even in a soft year. On the minus side it has **repeatedly missed its own top-line growth targets**: the "₹2,000 crore company in FY26 / 20%+ growth" pledge — pushed on nearly every call for 18 months — ended with FY26 revenue up just ~8%, and the ₹2,000 cr figure was quietly redefined as order *inflow* rather than revenue. Add a fresh MD transition and the read is honest-but-inconsistent-on-growth — a genuine MAYBE, not a YES.

Prepared from six earnings calls (Q3 FY25 to Q4 FY26). Q3 FY25–Q3 FY26 from on-disk Screener transcripts; Q4 FY26 from the company investor presentation plus public call summaries/transcripts (AlphaStreet, GuruFocus/Yahoo, ScanX, Angel One, BSE filing). Figures are standalone unless noted; every number carries its plain-English read above. Not investment advice.